

4. Asymmetric information

U.S. investors may be disadvantaged in foreign markets because foreigners know more about stocks in their local markets than U.S. investors do. Being less informed than foreigners, U.S. investors optimally choose to hold less foreign equity.¹⁷ One implication of this story is that domestic investors should do better than foreigners in local markets.

The empirical evidence, however, is mixed. On the one hand, Shukla and van Inwegen (1995) find that in U.S. markets, domestic managers outperform foreigners. Coval and Moskowitz (2001) document “home bias at home,” where U.S. mutual fund managers who stick to firms in their local region tend to perform better than their peers who invest all over the country. On the other hand, Grinblatt and Keloharju (2000), Seasholes (2000), and Karolyi (2002) all find the reverse: domestic residents and institutions underperform foreign investors in local markets.

5. Behavioral biases

Huberman (2001) argues that “people simply prefer to invest in the familiar.” The lack of international diversification is then a result of people sticking to what they know. Morse and Shive (2011) assert that home bias is due to patriotism and find that countries whose residents are less patriotic exhibit less home bias.

The home bias puzzle literature is a good example of positive economics (see chapter 2). We still do not know, however, what prevents investors from taking up these opportunities. The concept of diversification from mean-variance investing is normative; sections 2.1 to 2.4 have demonstrated large benefits of international investing. Investors should seize the chance to diversify and improve their risk–return trade-offs. Your money should be like the testy adolescent who can’t wait to leave home: invest abroad and reap the benefits.

2.7. IS DIVERSIFICATION REALLY A FREE LUNCH?

Diversification has been called the only “free lunch” in finance and seems too good to be true. If you hold (optimized) diversified portfolios, you can attain better risk–return trade-offs than holding individual assets. Is it really a free lunch?

Yes, if you only care about portfolio means and variances.

Mean-variance investing, by definition, only considers means and variances. Portfolio variances are indeed reduced by holding diversified portfolios of imperfectly correlated assets (see equation (3.1)). In this context, there is a free lunch.

¹⁷ The first model along these lines was by Gehrig (1993). Recent models include Van Nieuwerburgh and Veldkamp (2009) where investors endogenously choose not to become informed about foreign equities in equilibrium.